CORPORATE CREDIT-RISK ASSESSMENT

Mahindra & Mahindra Limited

Credit-risk memo: FY2024–FY2026 performance and FY2027 outlook

Item	Detail
Prepared by	Tanmay Krishna Sattiraju
Project title	Corporate Credit Risk Analysis & AI-Assisted Decision Support
Company analysed	Mahindra & Mahindra Limited (M&M); consolidated group unless stated otherwise
Review period	FY2024 to FY2026 (FY2023–24 to FY2025–26, years ended 31 March), with FY2026–27 outlook information
Currency	₹ crore unless otherwise stated
Prepared as	Independent educational portfolio project demonstrating financial analysis, risk assessment, reporting and decision support
Principal sources	M&M annual reports FY2025 and FY2026; CRISIL rating rationale dated 18 September 2026; FY2026 results announcement (Section 10)
Output	Analytical credit view only. No credit rating, lending approval or recommendation is given

Important notice

This memo is an independent educational exercise prepared for portfolio demonstration purposes. It is not an official credit assessment, lending approval, or proprietary credit rating, and it does not represent the views or opinions of Mahindra & Mahindra Limited (M&M), CRISIL, or any lender. The inputs were drawn from the project brief and have not been independently re-verified against the original source documents. Arithmetic calculations were recomputed by the analyst, as described in Section 10. Unresolved data discrepancies are explicitly identified in the memo and Appendix A rather than silently adjusted.

1. Executive summary

M&M's consolidated credit profile combines strong earnings momentum, a diversified business mix and a reaffirmed CRISIL AAA/A1+ rating with a large, increasingly short-dated funding base and a cash-flow record that has only just turned positive. **Our analytical view is that the profile is strong, with specific monitorables concentrated in funding structure, cash conversion and Financial Services provisioning.** This is a qualitative judgement, not a rating, limit or approval.

₹ crore	FY2024	FY2025	FY2026
Revenue from operations	139,078.27	159,210.82	197,792.78
PBT margin (on revenue from operations)	*11.49%*	*11.98%*	*12.73%*
Consolidated profit for the year	12,269.82	14,073.17	18,621.71
Cash flow from operations (CFO)	(5,629.95)	(290.80)	11,657.36
Total borrowings excluding leases	103,203.23	121,172.95	129,614.50
Current borrowings (share of total)	35,483.54 (34.4%)	41,465.76 (34.2%)	56,144.57 (43.3%)
Financial Services gross Stage 3 ratio	3.87%	4.07%	3.42%

Source: consolidated figures per FY2025 and FY2026 annual reports [S1, S2] as supplied; ratios are analyst calculations.

What supports the credit

- **Growth and margins:** revenue rose 24.2% in FY2026 (42.2% over two years) and PBT margin widened about 124 bp to 12.73%.
- **Diversification:** Automotive is 59.1% of FY2026 segment external revenue, Farm Equipment 21.3%, Financial Services 10.5% and Industrial Businesses & Consumer Services 9.1%; all four segments grew in FY2026.
- **Cash generation turned positive:** CFO of ₹11,657.36 crore in FY2026 after two negative years; gross Stage 3 ratio improved to 3.42%.
- **External support:** CRISIL reaffirmed AAA/Stable (NCDs) and A1+ (short-term) and describes liquidity as superior.

What constrains it

- **Funding profile:** borrowings of ₹129,614.50 crore (excluding leases); current borrowings rose 35.4% to ₹56,144.57 crore (43.3% of total) and 86.5% of principal falls due within three years.
- **Cash conversion:** three-year CFO (₹5,736.61 crore) covered only about 15% of cumulative investing outflows (₹38,464.66 crore); the FY2026 rebound is not yet shown to be sustainable.
- **Financial Services:** loans grew 12.7% to ₹140,241.42 crore while implied coverage of non-Stage 3 loans thinned; Stage 3 improvement alone does not prove broader asset-quality improvement.
- **Data integrity:** a ₹85.04 crore maturity-table discrepancy, a segment-revenue scope difference and an FY2024 cash-flow footing gap remain unresolved (Appendix A).

2. Business and operating profile

M&M reports four segments: Automotive, Farm Equipment, Financial Services, and Industrial Businesses & Consumer Services. Automotive is the largest and fastest-growing (FY2026 external revenue +29.8%), and CRISIL cites automotive and tractor strength, diversification and financial flexibility among the group's credit strengths. Market-share and volume data were not supplied, so the strength of the tractor and utility-vehicle positions is taken from CRISIL's assessment and is not independently quantified here.

External revenue, ₹ crore	FY2024	FY2025	FY2026	FY26 YoY	FY26 mix
Automotive	75,488.31	90,424.08	117,363.87	29.8%	59.1%
Farm Equipment	33,398.87	35,315.81	42,397.44	20.1%	21.3%
Financial Services	15,652.02	18,295.83	20,817.69	13.8%	10.5%
Industrial Businesses & Consumer Services	14,539.07	15,175.10	18,059.55	19.0%	9.1%
Segment total (analyst sum)	**139,078.27**	**159,210.82**	**198,638.55**	**24.8%**	**100.0%**
Consolidated revenue from operations	139,078.27	159,210.82	197,792.78	24.2%	–
Difference (segment total less consolidated)	*0.00*	*0.00*	*845.77*		

Source: segment note and consolidated income statement [S1, S2] as supplied; sums, growth and mix are analyst calculations.

Scope note. On the supplied figures, segment external revenue equals consolidated revenue from operations in FY2024 and FY2025 but exceeds it by ₹845.77 crore (0.43%) in FY2026. The source definitions differ, so the two series are shown side by side and are not forced to reconcile.

Segment result*, ₹ crore	FY2024	FY2025	FY2026	Margin FY24	Margin FY26
Automotive	6,057.12	7,797.40	10,383.47	8.02%	8.85%
Farm Equipment	4,326.62	4,946.65	5,516.90	12.95%	13.01%
Financial Services	2,557.22	3,002.02	3,778.53	16.34%	18.15%
Industrial Businesses & Consumer Services	2,259.12	2,717.52	3,704.64	15.54%	20.51%
Total of segment results (analyst sum)	**15,200.08**	**18,463.59**	**23,383.54**	**10.93%**	**11.77%**

**Segment result is after share of associates/JVs; margin = segment result ÷ segment external revenue, an indicative measure that is not equal to PBT margin. Farm Equipment margin was 14.01% in FY2025. Source: [S1, S2]; analyst calculations.*

Automotive result rose 33.2% in FY2026 (margin 8.85%). Farm Equipment revenue rebounded 20.1%, yet its result margin eased about 100 bp to 13.01%, a point to watch. Financial Services contributes 16.2% of segment results from 10.5% of revenue.

3. Financial performance

₹ crore	FY2024	FY2025	FY2026
Revenue from operations	139,078.27	159,210.82	197,792.78
YoY growth	*n/a*	*14.5%*	*24.2%*
Other income	2,176.42	2,181.05	3,445.79
Total income	141,254.69	161,391.87	202,084.34
Finance costs	7,488.21	9,083.39	9,590.85
Total expenses	126,398.33	143,849.67	178,571.55
Profit before tax (PBT)	15,977.79	19,079.62	25,184.76
PBT margin	*11.49%*	*11.98%*	*12.73%*
Consolidated profit for the year	12,269.82	14,073.17	18,621.71
Profit margin	*8.82%*	*8.84%*	*9.41%*
Profit attributable to owners	11,268.64	12,929.10	17,098.85
Interest-cover proxy: (PBT + finance costs) ÷ finance costs†	3.13x	3.10x	3.63x

Margins use revenue from operations throughout. †Analyst proxy on consolidated figures; finance costs include Financial Services interest, so it is not comparable with CRISIL's standalone 84x. Source: [S1, S2, S4].

Growth is broad-based and operating leverage is evident: FY2026 PBT rose 32.0% and profit 32.3% against revenue growth of 24.2%. Finance costs rose only 5.6%, so they fell from 5.71% to 4.85% of revenue. Three earnings-quality points temper the headline:

- Other income rose 58.0% to ₹3,445.79 crore, equal to 13.7% of PBT.
- FY2026 PBT before exceptional items, associates/JVs and tax was ₹23,512.79 crore, an 11.89% margin, about 85 bp below the headline 12.73%. Exceptional items were ₹(292.94) crore, so the bridge to reported PBT implies roughly ₹1,964.91 crore (7.8% of PBT) from associates/JVs. This figure is implied by the supplied totals, not separately reported here.

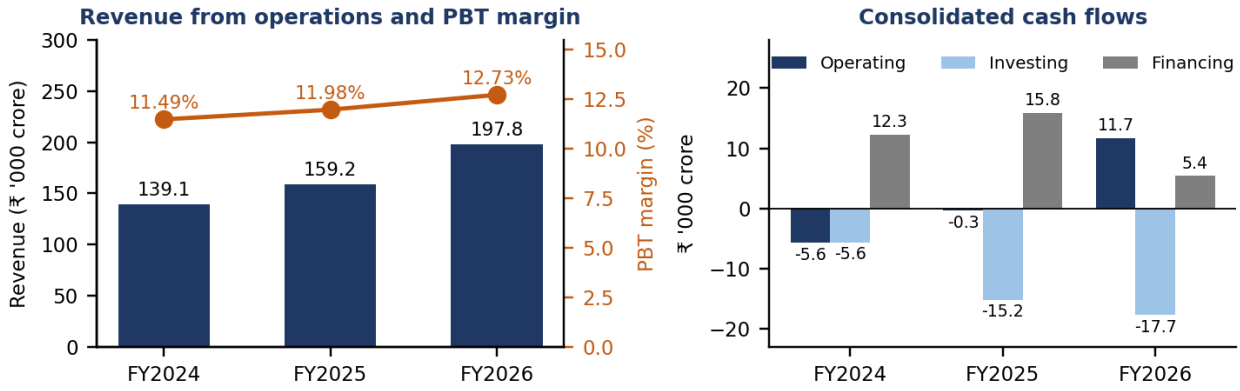


Figure 1. Left: revenue and PBT margin. Right: operating, investing and financing cash flows. Source: [S1, S2]; analyst charts.

4. Leverage, liquidity and debt maturity

4.1 Borrowings and liquidity

₹ crore	FY2024	FY2025	FY2026
Total assets	236,300.73	277,586.27	317,634.64
Non-current borrowings	67,719.69	79,707.19	73,469.93
Current borrowings	35,483.54	41,465.76	56,144.57
Total borrowings excluding leases	**103,203.23**	**121,172.95**	**129,614.50**
Borrowings ÷ total assets	*43.7%*	*43.7%*	*40.8%*
Current borrowings ÷ total borrowings	*34.4%*	*34.2%*	*43.3%*
Cash and cash equivalents	4,530.10	4,923.89	4,292.24
Other bank balances‡	25,205.94	15,690.95	27,686.34
Cash + other bank balances (upper bound)	29,736.04	20,614.84	31,978.58
Upper-bound balances ÷ current borrowings	*83.8%*	*49.7%*	*57.0%*

‡Some other bank balances may be restricted or earmarked; they are not treated as freely available. Source: [S1, S2]; analyst calculations.

Borrowings grew 7.0% in FY2026, slower than total assets (14.4%) and revenue, so borrowings eased to 40.8% of assets. The mix, however, shortened: non-current borrowings fell ₹6,237.26 crore while current borrowings rose 35.4%. Part of this is reclassified

maturing term debt (current maturities +11.8% to ₹37,194.68 crore), but short-term borrowings more than doubled to ₹18,949.89 crore from ₹8,193.11 crore (+131.3%), which is incremental short-dated funding.

Cash and cash equivalents of ₹4,292.24 crore cover just 7.6% of current borrowings. Even if every other bank balance were available, coverage would be 57.0%, so the profile relies on rollover, collections from the Financial Services loan book and continued market access. CRISIL's superior liquidity view and AAA/A1+ ratings support that access, but are standalone-based (Section 6). CRISIL reports FY2026 standalone debt of only ₹1,056 crore against consolidated borrowings of ₹129,614.50 crore; the two are not combined into a ratio, but the contrast indicates that most consolidated debt sits outside the standalone entity. The supplied data does not split it by entity, which should be requested.

4.2 Cash flow

₹ crore	FY2024	FY2025	FY2026
Cash flow from operations (CFO)	(5,629.95)	(290.80)	11,657.36
Investing cash flow	(5,597.77)	(15,159.50)	(17,707.39)
Financing cash flow	12,281.41	15,834.11	5,391.04
Net change in cash equivalents (reported)	**3,493.41**	**383.81**	**(658.99)**
Sum of the three components (analyst check)	*1,053.69*	*383.81*	*(658.99)*
CFO + investing cash flow	(11,227.72)	(15,450.30)	(6,050.03)
CFO ÷ consolidated profit for the year	*(45.9%)*	*(2.1%)*	*62.6%*

Source: consolidated cash-flow statement [S1, S2] as supplied; analyst calculations.

The FY2026 CFO swing of ₹11,948.16 crore is material, but CFO still converted only 62.6% of profit and three-year CFO was 12.8% of three-year profit (₹5,736.61 crore against ₹44,964.70 crore). In FY2026 CFO covered 65.8% of investing outflows; the ₹6,050.03 crore shortfall was funded by financing inflows, which fell sharply from ₹15,834.11 crore. The supplied data does not identify what drove the rebound. Hypotheses to test, none established here: (i) slower Financial Services loan growth (12.7% against 16.1%), since lender-group disbursements typically sit in operating cash flow; (ii) working-capital timing, including trade payables of ₹37,888.67 crore; (iii) higher profit. Investing outflows may include bank-deposit and investment movements, so they are not labelled capex.

Flag: FY2024 cash-flow footing

The FY2024 operating, investing and financing flows sum to ₹1,053.69 crore, against a reported net change of ₹3,493.41 crore (difference ₹2,439.72 crore). FY2025 and FY2026 foot exactly. Reported figures are retained unadjusted pending explanation from the cash-flow statement notes.

4.3 FY2026 contractual maturity profile

₹ crore (undiscounted)	<1 year	1–3 years	3–5 years	>5 years	Total
Borrowings: principal	56,144.57	56,005.88	9,455.84	8,093.25	129,699.54
Borrowings: interest	7,314.51	7,034.30	2,082.91	3,108.60	19,540.32
Trade payables	37,888.67	0.00	0.00	0.00	37,888.67
Lease liabilities incl. interest	789.82	1,139.31	1,035.54	2,415.98	5,380.65
Other financial liabilities	4,168.64	397.87	10.79	129.80	4,707.10
Reported total contractual cash flows	**106,306.21**	**64,577.36**	**12,585.08**	**13,747.63**	**197,216.28**
Principal maturity mix	*43.3%*	*43.2%*	*7.3%*	*6.2%*	*100.0%*

Source: FY2026 liquidity-risk maturity analysis [S1] as supplied; row totals, column totals and mix are analyst calculations (column totals match the reported figures).

Flag: unresolved ₹85.04 crore discrepancy

FY2026 borrowing-principal buckets sum to ₹129,699.54 crore, which is ₹85.04 crore (0.07%) above balance-sheet borrowings of ₹129,614.50 crore. Figures are shown as reported, not adjusted; reconcile to the source note before relying on the table.

The table is an undiscounted contractual analysis that includes interest, payables and other liabilities, so it is larger than the borrowing balance. Within one year, principal plus interest is ₹63,459.08 crore; cash plus all other bank balances (an upper bound) equal about 50% of it and cash alone about 7%. Trade payables of ₹37,888.67 crore are operating and normally recycle. Because Financial Services loan-receivable maturities were not supplied, the table shows only the liability side and **no liquidity-gap conclusion can be drawn**.

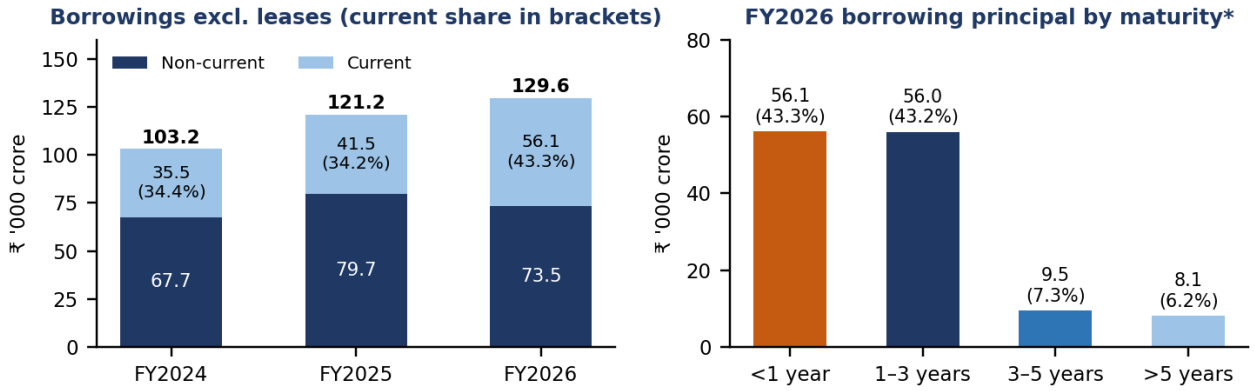


*Figure 2. *Principal buckets as reported (sum ₹129,699.54 crore; see flag above). Source: [S1, S2]; analyst charts.*

5. Financial Services asset quality

₹ crore unless stated	FY2024	FY2025	FY2026
Total gross loan balance	107,144.79	124,387.98	140,241.42
Gross loan growth	*n/a*	*16.1%*	*12.7%*
Stage 3 gross balance	4,146.74	5,059.32	4,789.90
Gross Stage 3 ratio	**3.87%**	**4.07%**	**3.42%**
Total net carrying amount	103,482.28	120,338.24	136,113.88
Stage 3 net carrying amount	1,738.89	2,249.74	1,965.13
Net Stage 3 ratio	**1.68%**	**1.87%**	**1.44%**
Stage 3 ECL rate (as supplied)	**58.07%**	**55.53%**	**58.97%**
Implied total ECL allowance (gross less net)§	3,662.51	4,049.74	4,127.54
Implied allowance ÷ gross loans§	*3.42%*	*3.26%*	*2.94%*
Implied coverage of non-Stage 3 loans§	*1.22%*	*1.04%*	*0.96%*

§Analyst derivation: gross balance less net carrying amount, with Stage 3 allowance deducted for the non-Stage 3 line. It may include items other than ECL and must be confirmed against the ECL note. Stage 3 includes credit-impaired exposures, including borrowers 90 days past due per the supplied definition. Source: [S1, S2].

Gross Stage 3 balances fell 5.3% in FY2026 while the book grew 12.7%, taking the gross ratio to 3.42%, the lowest of the three years, and the Stage 3 ECL rate recovered to 58.97%. That is a genuine positive after FY2025, when Stage 3 balances rose 22.0% against 16.1% loan growth and the ECL rate slipped to 55.53%. Four cautions apply:

- The ratio fell through a lower numerator **and** a larger denominator; faster growth can flatter ratios while newer loans season.
- The implied allowance fell from 3.42% to 2.94% of gross loans and implied coverage of non-Stage 3 loans from 1.22% to 0.96%, so the cushion against performing and Stage 2 loans looks thinner even as Stage 3 coverage improved.
- Stage 2 balances, migration, write-offs and recoveries were not supplied, so it cannot be concluded that all aspects of asset quality improved. **No annual credit-cost ratio is calculated.**
- The auditor's key audit matter cites loan assets of ₹143,403 crore and an impairment loss of ₹4,140 crore for FY2026. These audit-matter figures are on a basis not reconciled to the table above (gross loans ₹140,241.42 crore) and are not an annual credit-cost ratio; the ₹4,140 crore is close to the implied allowance stock of ₹4,127.54 crore, so it may be a balance rather than a charge (to be confirmed).

6. External rating and independent analysis

6.1 CRISIL rating (rationale dated 18 September 2026)

Instrument	Amount rated (as supplied)	CRISIL rating
Non-convertible debentures	₹475 crore and ₹500 crore	CRISIL AAA/Stable
Short-term bank facilities	₹1,087.5 crore rated bank facilities (tenor split not supplied)	CRISIL A1+
Commercial paper	₹500 crore	CRISIL A1+

Source: CRISIL rating rationale [S3] as supplied.

CRISIL identifies automotive and tractor strength, diversification and financial flexibility as strengths, describes liquidity as superior, and estimates annual cash accruals of ₹13,000–15,000 crore for FY2027–FY2029. Its monitorables are competition, cyclicality, capital expenditure and acquisition risk.

CRISIL standalone indicators (not comparable with the consolidated figures in Sections 3–5 and not merged with them):

Standalone, ₹ crore unless stated	FY2025	FY2026
Operating income	118,625	147,765
EBITDA	17,123	20,977
EBIT margin	11.1%	11.5%
Profit after tax (PAT)	11,855	15,639
PAT margin	10.0%	10.58%
Interest coverage	68x	84x
Adjusted net debt ÷ net worth	n/s	NM
Standalone debt	n/s	1,056
Estimated annual cash accrual	n/s	16,785

NM = not meaningful; n/s = not supplied. Q1 FY2027 standalone: revenue ₹41,959 crore, PAT ₹3,685 crore, PAT margin about 9% (8.8% calculated). Source: [S3].

6.2 Independent analysis

The consolidated trends in Sections 3–5 are directionally consistent with CRISIL's strengths. Four differences of lens matter for credit judgement:

- **Leverage.** CRISIL's standalone leverage is not meaningful and interest coverage is 84x, whereas the consolidated proxy is 3.63x and borrowings are ₹129,614.50 crore. The standalone view does not capture group funding risk.
- **Coverage of the rating.** The instruments listed total about ₹2,562.5 crore, roughly 2.0% of consolidated borrowings. The rationale therefore says little directly about the remainder; ratings of subsidiary borrowers, including Financial Services, were not supplied and should be sourced.
- **Forward accruals.** CRISIL's ₹13,000–15,000 crore range sits below its estimated FY2026 accrual of ₹16,785 crore, signalling normalisation rather than extrapolation of FY2026 growth.
- **Early FY2027 margin.** On a like-for-like standalone basis, Q1 FY2027 PAT margin (about 8.8%) is roughly 180 bp below the FY2026 figure (10.58%). This is a single quarter, with seasonality and mix unknown, and is a watch item rather than a trend.

6.3 Audit and control considerations

The FY2026 auditor's report carries an **unmodified opinion**. Key audit matters (KAMs) were: impairment assessment of automotive intangible assets under development; impairment of Financial Services loans and advances; and IT and general controls in Financial Services. KAMs signal significant audit attention and do not mean the opinion was qualified. For credit purposes they mark the areas of greatest judgement: capitalised development spend, lending-book provisioning and loan-data systems.

7. Key credit risks and mitigants

Risk	Evidence	Credit implication	Mitigant	Monitoring indicator
Short-dated funding and refinancing	Current borrowings ₹56,144.57 cr (+35.4%; 43.3% of total); short-term borrowings +131.3%; 86.5% of principal due within 3 years	Rollover dependence; sensitivity to market access and spreads; cash covers 7.6% of current borrowings	AAA/A1+ ratings; superior liquidity per CRISIL; cash plus bank balances ₹31,978.58 cr (upper bound)	Current share of borrowings; short-term borrowings; CP/NCD spreads; rating outlook
Leverage and funding growth	Borrowings ₹129,614.50 cr, +7.0% in FY2026 and +25.6% since FY2024; 40.8% of assets	Debt growth must be matched by earning assets and cash generation	Borrowings grew slower than assets and revenue in FY2026; cover proxy 3.63x	Borrowings growth vs profit growth; cover proxy
Sustainability of CFO rebound	CFO (5,629.95) → (290.80) → 11,657.36; three-year CFO 12.8% of profit	Rebound may reflect timing; weak conversion pressures refinancing	FY2026 CFO positive; CRISIL accruals ₹13,000–15,000 cr	CFO ÷ profit; CFO vs investing outflow; driver analysis
Liquidity quality	Other bank balances ₹27,686.34 cr (₹15,690.95 cr in FY2025); restrictions not disclosed in supplied data	Headline liquidity may overstate free liquidity	Cash ₹4,292.24 cr is unrestricted by definition; unrestricted share of other balances unknown	Restricted vs free split; free liquidity ÷ <1-year debt service
Financial Services asset quality and provisioning	Gross loans +12.7% to ₹140,241.42 cr; gross Stage 3 3.42%; implied non-Stage 3 coverage 1.22% → 0.96%; KAM on loan impairment	Credit costs could rise in a downturn; growth may outpace provisioning	Stage 3 ECL rate 58.97%; Stage 3 balances −5.3%	Stage 3 and Stage 2 ratios; ECL coverage; credit cost (to be sourced)
Expansion, capex and acquisitions	Investing outflow ₹17,707.39 cr in FY2026 (₹38,464.66 cr over 3 years); KAM on intangibles under development; CRISIL flags capex and acquisition risk	Debt-funded growth; impairment if programmes underperform	Strong accruals; diversified earnings; financing inflows fell to ₹5,391.04 cr	Investing outflow vs CFO; announced M&A; impairment charges
Competitive and cyclical environment	Automotive 59.1% of segment revenue; FY2026 growth of 24.2% off a higher base; Farm margin −100 bp; Q1 FY2027 standalone PAT margin about 8.8%	Price competition or demand cycles could compress margins and coverage	Four-segment diversification; CRISIL cites tractor and automotive strength	Segment result margins; PBT margin; volumes

Risk	Evidence	Credit implication	Mitigant	Monitoring indicator
IT and internal controls	KAM on Financial Services IT and general controls; unmodified opinion	Control failures could undermine loan data and provisioning	Unmodified opinion; auditor focus on the area	Repeat KAMs; control deficiencies; regulatory actions
Data, scope and reconciliation	₹85.04 cr maturity discrepancy; ₹845.77 cr segment-revenue difference; ₹2,439.72 cr FY2024 cash-flow gap; consolidated vs standalone scope	Conclusions rest on figures not yet fully reconciled	Maturity and revenue gaps are small (0.07%, 0.43%); differences are disclosed, not adjusted	Resolve items in Appendix A before reliance

Source: analyst assessment based on Sections 2–6.

8. Monitoring framework and early-warning indicators

> Thresholds below are **illustrative analyst triggers** for discussion. They are not official covenants, contractual terms or M&M or CRISIL guidance. Amber = review; Red = escalate.

Area	Indicator	FY2026 baseline	Illustrative trigger
Revenue and margins	Revenue growth; PBT margin	24.2%; 12.73%	Amber: PBT margin <12.0% or growth <5% for two quarters. Red: PBT margin <11.0%
Borrowings and maturities	Current share of borrowings; short-term borrowings; borrowings growth vs profit growth	43.3%; ₹18,949.89 cr; +7.0% vs +32.3%	Amber: current share >45% or short-term borrowings >₹25,000 cr. Red: current share >50% or borrowings growth exceeding profit growth for two years
Operating cash flow and conversion	Trailing CFO ÷ profit	62.6%	Amber: <40%. Red: trailing CFO negative
Capital expenditure and acquisitions	CFO ÷ investing outflow; large debt-funded transactions	65.8%	Amber: <50%. Red: acquisition or commitment not covered by CFO and accruals guidance (size to be set by analyst)
Stage 3 ratios and ECL coverage	Gross and net Stage 3; Stage 3 ECL rate; implied non-Stage 3 coverage	3.42%; 1.44%; 58.97%; 0.96%	Amber: gross Stage 3 >4.0%, ECL rate <55% or implied coverage <0.90%. Red: gross Stage 3 >5.0% or ECL rate <50%
Segment performance	Segment result ÷ external revenue	Auto 8.85%; Farm 13.01%; FS 18.15%; Industrial 20.51%	Amber: any segment margin down >150 bp YoY. Red: Automotive result falls YoY or two segments' margins fall together
Rating changes	CRISIL and subsidiary-borrower ratings and outlooks	AAA/Stable; A1+	Amber: outlook to Negative or rating watch. Red: downgrade below AAA/A1+
IT and internal-control findings	KAMs; control deficiencies; regulatory actions	Unmodified opinion; KAM on FS IT controls	Amber: repeated KAM or reported deficiency. Red: modified opinion, material weakness or major cyber or regulatory event

Baselines from Sections 2–6; triggers are analyst-set and illustrative.

9. Conclusion

On the evidence supplied, M&M is a strong, diversified group whose earnings have scaled quickly, whose margins are improving and whose senior debt is rated at the top of the domestic scale by CRISIL. The principal issue is not profitability but **funding structure and cash conversion**: borrowings are large and increasingly short-dated, and three-year operating cash flow funded only a small part of investing outflows. Financial Services Stage 3 metrics improved, but coverage of the rest of the book thinned as loans kept growing, so overall asset quality cannot be called improved on the supplied data.

Weighing these factors, we view the credit profile as **strong with identified monitorables**. This is an analytical conclusion only; it is not a credit rating, a lending approval or a recommendation to extend credit. Before any reliance for decision purposes, the following information should be obtained:

- Cash-flow note (FY2026 CFO drivers, Financial Services loan-flow classification, FY2024 footing gap) and reconciliation of the ₹85.04 crore maturity difference and FY2026 segment-revenue scope.
- Borrowings by entity (standalone, Financial Services, other subsidiaries) and the restricted or earmarked portion of other bank balances.
- Financial Services Stage 2 balances, ECL by stage, write-offs and credit cost, plus ratings of subsidiary borrowers.

10. Sources, methodology and limitations

Sources

- **[S1]** M&M Integrated Annual Report FY2026: https://www.mahindra.com/annual-report-FY2026/index.html
- **[S2]** M&M Integrated Annual Report FY2025: https://www.mahindra.com/annual-report-FY2025/toc/
- **[S3]** CRISIL Ratings rationale, 18 September 2026: https://www.crisilratings.com/mnt/winshare/Ratings/RatingList/RatingDocs/MahindraandMahindraLimited_September%2018_%202026_RR_404981.html

- **[S4]** M&M Q4 and full-year FY2026 results announcement: https://www.mahindra.com/news-room/press-release/en/financial-results-quarter-4-and-full-year-fy26-standalone-and-consolidated-results

Methodology and limitations

- Figures are those supplied in the project brief and attributed to [S1]–[S4]; the analyst recomputed all ratios, growth rates, sums and mixes (Appendix B), which is how the Appendix A discrepancies were found. Consolidated annual-report figures and CRISIL standalone indicators are never combined into one ratio series.
- **The inputs were not independently re-verified against the source documents**, so page and note references are not given. Derived measures rest on the assumptions in their footnotes. No credit-cost ratio, rating or limit is produced; market-share data, covenants and subsidiary ratings were not available; CFO-rebound hypotheses are untested.

Appendix A. Data reconciliation and open items

#	Item	Observation	Treatment in memo	Action needed
A1	FY2026 maturity table vs balance sheet	Principal buckets sum to ₹129,699.54 cr vs borrowings ₹129,614.50 cr; difference ₹85.04 cr (0.07%)	Shown as reported; flagged in Section 4.3	Reconcile to source note
A2	Segment revenue vs consolidated revenue (FY2026)	Segment external revenue ₹198,638.55 cr vs ₹197,792.78 cr; difference ₹845.77 cr (0.43%). FY2024 and FY2025 sums equal consolidated revenue	Both series preserved; not forced to reconcile	Confirm source definitions
A3	FY2024 cash-flow footing	Operating, investing and financing flows sum to ₹1,053.69 cr vs reported net change ₹3,493.41 cr; difference ₹2,439.72 cr	Reported net change retained; flagged in Section 4.2	Check cash-flow statement and notes
A4	Cash-flow change vs balance-sheet cash	Cash and cash equivalents moved +₹393.79 cr (FY2025) and −₹631.65 cr (FY2026) vs reported net changes of +₹383.81 cr and −₹658.99 cr	Not adjusted; possibly definitional (not confirmed)	Confirm cash definition
A5	Consolidated vs standalone scope	CRISIL indicators are standalone; annual-report figures are consolidated	Separate tables; no merged ratios	None; maintain separation
A6	KAM figures vs loan tables	KAM loan assets ₹143,403 cr and impairment ₹4,140 cr vs gross loans ₹140,241.42 cr and implied allowance ₹4,127.54 cr; bases not reconciled	Not used for ratios; not treated as credit cost	Confirm KAM basis
A7	Other bank balances	Restricted or earmarked portion not disclosed in supplied data	Treated as upper-bound liquidity only	Obtain note disclosure

Source: analyst checks on supplied figures.

Appendix B. Calculation notes

Metric	Basis
Revenue growth; PBT and profit margins	Year-on-year change in revenue from operations; PBT or consolidated profit ÷ revenue from operations
Borrowings ÷ assets; current share	Total borrowings excluding leases ÷ total assets; current borrowings ÷ total borrowings
Upper-bound liquidity	Cash and cash equivalents plus other bank balances (some may be restricted); compared with current borrowings or with <1-year principal plus interest (₹63,459.08 cr)
Interest-cover proxy	(PBT + finance costs) ÷ finance costs, consolidated; not comparable with CRISIL standalone interest coverage
CFO ÷ profit	CFO ÷ consolidated profit for the year; three-year figures use cumulative sums (₹5,736.61 cr ÷ ₹44,964.70 cr)
Implied associates/JV profit (FY2026)	Reported PBT ₹25,184.76 cr less pre-exceptional PBT ₹23,512.79 cr plus exceptional loss ₹292.94 cr = ₹1,964.91 cr
Stage 3 ratios	Stage 3 gross ÷ total gross loans; Stage 3 net carrying ÷ total net carrying amount; ECL rate as supplied (reconciles to gross less net)
Implied ECL allowance and coverage	Total gross less total net carrying amount; non-Stage 3 coverage = (total allowance − Stage 3 allowance) ÷ (gross loans − Stage 3 gross)
Segment margin	Segment result (after share of associates/JVs) ÷ segment external revenue; indicative only